

Macroeconomics

& Market Drivers

Explained so simply a 10-year-old gets it

The tides beneath every stock — interest rates, inflation, currencies, and money flows — and why the surprise, not the number, is what moves the market.

Stock Market Mastery Roadmap • Advanced Level
Educational only — not investment, trading, or tax advice.

Every stock swims in a bigger ocean — the **whole economy**. When the tide moves, *all* the boats move, no matter how good each boat is. **Macroeconomics** is the study of those tides: interest rates, inflation, currencies, and money flows. Knowing them stops you being **blindsided** on big days.



Interest rates: the gravity of all prices

The most powerful force in markets is the **interest rate** — set by **central banks** (India's **RBI**, America's **Fed**). Think of rates as **gravity**:

- **Low rates** → money is cheap → people borrow, spend, and invest → stocks tend to **rise** (weak gravity, things float up).
- **High rates** → money is expensive → borrowing slows, safe bank deposits look tempting → stocks often **fall** (strong gravity pulls prices down).
- **RBI tools** — the **repo rate** (its main lever), **CRR** (how much banks must park), and its **stance** (the mood/hint about what's next).

WHY RATES ARE "GRAVITY"

When safe returns (bank/bond interest) rise, risky stocks must **compete harder** to be worth it — so their valuations get **squeezed down**. Higher rates = stronger gravity = lower prices, all else equal. This one force quietly explains a huge share of market moves.



Economic health check: the data reports

Countries get regular "check-ups." The big numbers traders watch:

Report	Measures	Simple meaning
CPI / WPI	inflation (prices rising)	how fast things get costlier
GDP	total economic output	the country's overall "income"
IIP	industrial production	are factories busy?
PMI	business activity survey	a mood check for companies

THE BIGGEST SECRET: SURPRISE BEATS THE NUMBER

Markets don't move on the number itself — they move on the **surprise vs what everyone expected** (the "consensus"). If inflation was *expected* to be 5% and comes in at 5%, price barely moves. If it comes in at 7%, markets jolt. **Markets trade expectations vs reality** — the *gap* is what matters, not the figure.



Currency & crude: India's special sensitivities

- **USD-INR** — a weaker rupee **helps exporters** (IT, pharma earn dollars) but **hurts importers** and raises inflation.
- **Crude oil** 🛢️ — India imports most of its oil, so a **crude spike** raises costs, inflation, and pressures the rupee — a headwind for many sectors.



Liquidity & flows: who's pouring money in?

- **FII flows** 🌐 — foreign investors; when they **buy** heavily, markets often surge; when they **flee**, markets wobble.
- **DII flows** 🇮🇳 — domestic institutions (mutual funds, insurers) — often a **steadying** counter-force.
- **Risk-on / risk-off** — the global mood: **risk-on** = investors feel brave (buy stocks); **risk-off** = scared (flee to safety).
- **US 10-Year yield** — the world's key interest rate; when it jumps, money often leaves risky markets everywhere.

RISK-OFF CAN OVERRULE GOOD FUNDAMENTALS

On a **risk-off** day (a war scare, a global shock), even **excellent** stocks fall — the tide drags every boat down together. In the short run, the **macro mood can completely override** a company's own great numbers. Don't assume "but my stock is good" will protect you on those days.



Policy, budget & shocks

- **Government policy & Union Budget** — taxes and spending plans can lift or sink whole sectors overnight.
- **Fiscal deficit** — how much more the government spends than it earns — affects rates and confidence.
- **Geopolitics & commodity shocks** — wars, sanctions, supply cuts — sudden jolts nobody scheduled.



The economic calendar & event risk

Some days are **landmines** you can see coming: **policy days** (RBI/Fed), **results season**, **expiry**, and big data releases. Smart traders **mark these in advance** and reduce risk around them — surprises love these dates.



Key ideas to remember

- **Markets trade expectations vs reality** — the **surprise versus consensus** moves price, not the raw number.
- **Rates are the gravity of asset prices** — higher rates **compress valuations** across the board.
- **Risk-on / risk-off often overrides individual fundamentals** in the short run — the tide beats the boat.

PRACTICAL EXERCISES

-  **Keep an economic calendar for one month.** Before each event, write the **consensus** and your **expected reaction** — then review what actually happened.
-  **Track FII/DII daily flows vs Nifty** for a month; look for the **relationship**.
-  **Pick one macro shock** (a rate decision, a crude spike) and **trace its path through the sectors** it touches.

REAL-WORLD APPLICATION

-  **Macro awareness stops you being blindsided on event days** — and it explains **regime shifts**: why a strategy that worked beautifully for months can **suddenly stop working** when the macro backdrop (rates, liquidity, risk mood) changes underneath it.

ONE-LINE SUMMARY

Stocks swim in the macro ocean. **Rates are gravity** (higher = lower valuations); **inflation, GDP, PMI** report the economy's health, but only the **surprise vs consensus** moves price. Watch **USD-INR and crude** (India's sensitivities), **FII/DII flows** and **risk-on/off** mood, and **policy/budget** shocks. Mark **event days** in advance — the tide often beats the boat.